DOC-ID: POL-014
OWNER: Payroll and Total Rewards | EFFECTIVE-DATE: 2026-01-01

Payroll, Compensation, and Time Recording Policy

Lumora Systems, Inc. is a fictional company. This document is synthetic and was written for an AI engineering course project.

1. Purpose

This policy explains how and when Lumora pays employees, how compensation is reviewed, how hours are recorded, and how employees can correct a pay problem. It applies to all employees in the United States, Canada, and the United Kingdom. Contractors are paid through Vendor Management according to their contracts and are not covered by this policy.

2. Pay Schedule

US and Canadian employees are paid semi-monthly, on the 15th and the last day of each month, for a total of 24 pay periods per year. UK employees are paid monthly on the last business day of the month. When a payday falls on a weekend or a company holiday, employees are paid on the preceding business day. Pay statements are available in PeopleHub on payday.

3. Direct Deposit and Bank Details

All pay is made by direct deposit. Employees enter and change bank details only inside PeopleHub, protected by multi-factor authentication. Changes made at least 5 business days before payday apply to that payday. Payroll and People Operations will never ask for bank details by email, chat, or phone; such requests are phishing and must be reported (see POL-006, Section 8).

4. Compensation Structure

Each role at Lumora is assigned a job level and a salary range. Salary ranges are set by pay zone. Pay zones are based on the employee's registered work location (see POL-001, Section 7):

Zone A: San Francisco, New York, Seattle, Boston, London

Zone B: Atlanta, Austin, Toronto, and other large metropolitan areas

Zone C: all other locations in the United States and Canada

Moving permanently to a location in a different pay zone may change the employee's salary range. Temporary work from another location under POL-004 or POL-005 does not change pay.

5. Annual Compensation Review

Lumora conducts one compensation review each year. Merit increases and promotions resulting from the review take effect on April 1. To be eligible for a merit increase, an employee must have started before October 1 of the prior year and not be on a performance improvement plan. Off-cycle promotions may be approved by a department director and People Operations when there is a significant change in responsibilities.

6. Bonuses and Equity

Employees in eligible roles participate in an annual bonus plan with a target expressed as a percentage of base salary. Bonuses are paid in March for the prior year and require the employee to be employed on the payment date. Sales roles participate in a separate commission plan. Equity grants are governed by the equity plan documents and individual grant agreements, which take precedence over this policy.

7. Recording Time

Non-exempt US employees and hourly employees in Canada and the UK must record all hours worked in PeopleHub each day, including any time spent checking email or messages outside scheduled hours. Timesheets are submitted weekly, by Monday at 12:00 noon local time for the previous week, and approved by the manager by Tuesday at 5:00 p.m. Working "off the clock" is prohibited, and managers may not ask employees to do so.

Exempt employees record only time off (PTO, sick leave, and other leave) in PeopleHub.

8. Overtime

Non-exempt US employees are paid 1.5 times their regular rate for hours worked over 40 in a workweek, and as required by state law. Overtime must be approved in advance by the manager, but all overtime that is worked will be paid even if it was not approved. Canadian and UK overtime follows provincial and national employment standards.

9. Pay Corrections

If an employee believes their pay is wrong, they should open an HR ticket in the Payroll category within 30 days of the payday, including the pay period and the amount in question. Payroll treats underpayments as P2 tickets and corrects confirmed underpayments within 5 business days, using an off-cycle payment if the amount is more than $100. Overpayments are recovered in agreement with the employee and in line with local law.

10. Final Pay

Final pay, including accrued and unused PTO where applicable (POL-002, Section 9), is paid on or before the next regular payday after separation, or sooner where local law requires.

11. Pay Transparency

Salary ranges are included in all job postings and are visible to employees for their own job level in PeopleHub. Employees may discuss their pay with others; Lumora will not retaliate against anyone for doing so.

12. Questions

Questions about pay, withholding, and pay statements go to an HR ticket in the Payroll category. Questions about salary ranges, promotions, and bonus plans go to the employee's manager or the Total Rewards team.